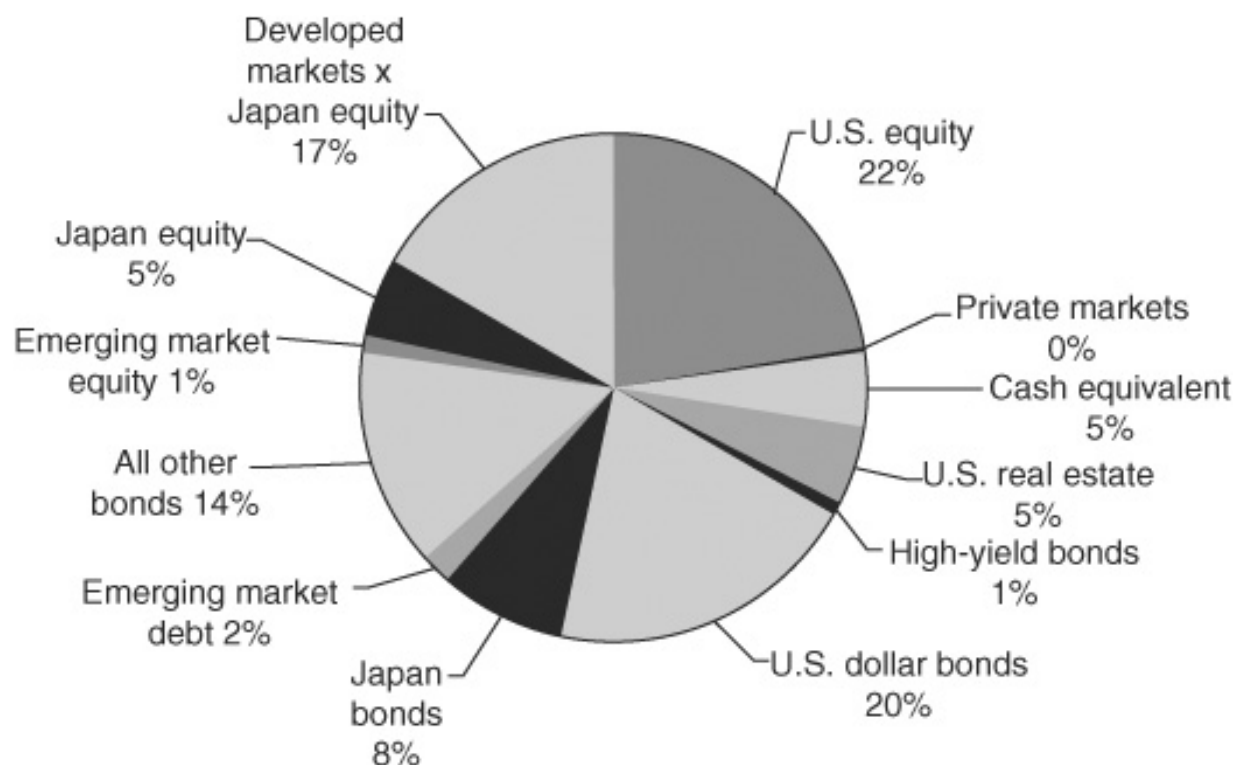


return, and have low or varying correlation with one another. As illustrated in [Figure 5-4](#), the world is a very big place. There are many different asset classes, categories, and styles to consider. The United States still holds a preeminent place in the global capital markets, with about 45 percent of the world's tradable securities. The U.S. percentage is getting smaller every year. Emerging countries are becoming an increasingly important source of new securities. These include securities from China, India, Brazil, and Eastern European countries.

FIGURE 5-4

Total Investable Assets in the Global Capital Markets, \$50 Trillion as of 2009



Several mutual fund companies have low-cost index funds and ETFs that cater to investors seeking global diversification at a low cost. Each year these providers create more investable securities covering asset classes and categories with the fundamental characteristics we are looking for. I am always on the lookout for new funds that provide access to new and unique risks in low-cost mutual fund and ETF products. There are not many offered with liquidity, diversification, and low cost. But once in a while something comes up.